1,11,691 crore budgeted in 2019–20 to Rs 1,07,500 crore in 2020–21, a net reduction of about Rs 4,200 crore. Non-NHAI roadwork expenditure was slated to go up moderately from Rs 45,880 crore in 2019–20 to Rs 48,759 crore in 2020–21. All considered, capital expenditure on roadworks was almost static, seeing no growth even in nominal terms. Expenditure on metro projects was also static in nominal terms, falling from Rs 17,714 crore in 2019–20 to Rs 17,482 crore in 2020–21.

Static or reduced budgets for all the heads of infrastructure, even in nominal terms, indicated that the government was not banking on any growth stimulus through infrastructure spending while formulating the Budget for 2020–21. The low level of budgeting for infrastructure expenditure appeared even more ironic when seen against the hype of the National Infrastructure Pipeline (NIP) of over Rs 111 lakh crore presented as a game changer to kickstart the economy. The proof of the pudding, as they say, is in the eating.

There are also major issues regarding the productivity of budgeted infrastructure expenditures. Budget-funded infrastructure projects take very long to complete and until these projects are commissioned and put to use, the cumulative expenditures incurred remain unproductive as they do not result in assisting in any production of goods or services. Despite spending so much on railway infrastructure (over Rs 1.5 lakh crore a year), the Railways is not able to complete projects as there are at least fifteen times larger unfinished projects. The value of finished projects in a year in case of the Railways has almost always been much lower than the capital expenditure incurred in that year. The Railways has doggedly refused to privatize its infrastructure operations. Consequently, there is no real investment in infrastructure by either foreign or domestic investors. Further, major freight infrastructure projects like the Delhi–Mumbai Industrial Corridor have been limping along for years.